

12.1 MEANING OF AND RATIONALE FOR FEDERAL STRUCTURE

Federalism refers to a system with more than one level of governance, each with some autonomy and decision-making powers. A political definition would be more rigorous and would require some specific conditions to be fulfilled, but an economist's definition is not so stringent. As long as all levels (two or more) have the authority to take some key decisions regarding revenue raising and spending public resources, basic conditions for fiscal federalism are satisfied, even if political federalism may not exist. When characterised in this fashion, only the degree of fiscal federalism differs among nations— even the formally unitary countries have aspects of it. This is because economic administration requires a minimum level of decentralisation and some delegation of fiscal powers in the interest of efficiency.

The primary reason for the widespread implementation of the principles of federalism, apart from the political aspects, is its suitability for realising the economic benefits of both small and large size in the same administrative structure. The primary economic benefit of large size is a large common market that allows scaled-up production with economies of scale as also specialisation, making production more efficient. The formation of the European Common Market has been cited as a good example of these benefits of larger size. At the same time, smaller jurisdictions also have the benefit of better information availability, less divergence in tastes and preferences, and easier administration in general. A formal statement of such benefits is given by the decentralisation theorem, which essentially states that a decentralised system of governance better caters to local tastes and preferences, and is therefore more efficient than a centralised system¹. These theoretical and *a priori* insights are well-supported in the case of India, as a nation of its size and diversity appears to be well-suited for a federal system.

12.2 PILLARS OF FEDERAL FINANCE

12.2.1 Assignments

Assignments refer to the distribution of powers and responsibilities of the government between the existing tiers. This is generally formalised in the Constitution of the nation, but often history and conventions play a significant role in the determination of the actual practices. In Canada, the Provinces that came together to form the federation preceded the federal government; accordingly, all powers and functions that were not specifically assigned to the federal government remained with the Provinces. In contrast, the Indian States as we see now were carved out from the whole after independence by the National Legislature. The nation preceded the constituent units, and correspondingly, the States were given specific powers and functions by the Constitution. The exclusive domains of the Union and State governments, in the case of India, are specified in their respective lists in the Constitution, along with a Concurrent list that specifies the functions common to the jurisdictions of both the Union and the States. However, the Union's powers prevail over that of the States in case of any conflict with respect to matters in the Concurrent list. This centralisation

¹ See Oates (1972).

bias is further strengthened with all residuary powers remaining with the Union (also called Central) government².

The overall responsibilities of the government can be broadly classified following Musgrave (1959) into three groups— resource allocation, distribution of wealth and income, and stabilisation of the economy. Of these, the first type of interventions that seek to reallocate resources to various economic activities through fiscal tools are usually thought and actually found in practice to be suitable for all levels of government, depending on the exact nature of the intervention. The other two are conceptually better suited to the national level government as regional or local level policy initiatives can be defeated by inter-jurisdictional mobility of citizens or resources. For example, an aggressive redistributive policy of a sub-national jurisdiction can cause out-migration of the rich from that jurisdiction into other less aggressive jurisdictions. This can continue in principle as long as the policy differential exists till all the rich taxpayers have shifted out and there is no one left to redistribute from. Similarly, stabilisation policy adopted by a sub-national jurisdiction can be neutralised by contrary policies adopted by other jurisdictions. In general, when economic policies require uniformity across the nation to be effective in a federal system, it is better administered by the national government. These considerations apply to both sides of the fiscal operations of the government— revenue raising and public expenditures.

12.2.1.1 Assignment of Public Expenditure

The assignment of expenditure responsibilities and of revenue handles are, in principle, governed by different considerations. The expenditure responsibilities are ideally assigned in such a way that the nature of the function maps closely to the size of the jurisdiction. For example, defense is a national public good (i.e., its benefit area covers the entire nation) that maps best at the central level, and hence best assigned to the Union government. In contrast, public lighting is very much a local public good in nature, and hence best allotted to the local government units. Regional level public goods can be assigned to State governments, and if a particular public good does not map well into the pre-defined jurisdictions, even special purpose sub-national special agencies can be created (e.g., school districts in the USA or river valley project authorities in several countries including Sri Lanka).

Apart from the economic efficiency argument of the ‘decentralisation theorem’ relating to greater cognizance of local variations in demand for public services, the correspondence of benefit area with decision-making jurisdiction internalises costs and benefits of public services and avoids distortions and sub-optimal decisions. This is often termed as the *subsidiarity principle*, although strictly speaking, the general principle essentially requires all decision-making at the most decentralised level by default, and these powers and functions moved up to progressively less decentralised levels only when there are clear and substantive reasons for it. However, considerations of scale economies may sometimes

² This has had significant impact on fiscal federalism, not foreseen by the Constitution makers. The best example is that of no mention of the services sector anywhere in the three lists of the Constitution, except a few specific services. This sector grew faster than all other sectors to become the largest one in terms of share in GDP. The centre claimed the right to tax services sector under the residuary powers clause, and this in fact upset the balance of revenue raising powers between the Centre and the states irrevocably, with strong implications for subnational autonomy.

outweigh the subsidiarity principle in functional assignment. Also, the second-generation theory of fiscal federalism (Qian and Weingast, 1997) asserts that the main consideration in determining assignments should be the ability of any level of government to carry out the function most efficiently, irrespective of the nature of the public service one is considering. This contention is the main argument of the modern theory of competitive federalism as well (Breton, 1987).

12.2.1.2 Assignment of Revenue Sources

As far as revenue-raising is concerned, primarily redistributive taxes like the personal income tax are generally assigned to the national level. Modern corporations are large entities with business operations across a nation, and to prevent tax-induced distortions in location and other business decisions causing inefficiencies, corporate taxation is also usually assigned to national governments. Taxes on foreign trade are also assigned to the national government, as uniformity is required across the nation. As per the original scheme of constitutional assignment in most large federal systems including India, indirect or commodity taxes were distributed among different levels. In India, the Union government levied the Union Excise duty on production, the states levied sales tax (later converted to a variant of Value Added Tax or VAT), and the local bodies could levy Octroi duty. All three taxes were actually taxing consumption, which caused a significant extent of tax overlapping, making it difficult to even assess the effect of various taxes on the prices, leave alone the economic impact of this complex system of indirect taxation. Further, competition among states to attract business into their jurisdiction using the incentive of lower tax rates caused revenue losses for all of them. This system badly needed rationalisation, with an additional issue of the increasing share of the services sector in the GDP and the appropriation of its taxation by the Union government using the residuary powers clause of the Constitution. The rationalisation process was a long drawn-out affair, beginning with efforts to lower the degree of tax competition in stages, and culminating in the introduction of a Goods and Services Tax (GST) in 2017, levied jointly by the Union and the state governments. While indirect tax reform based on introduction of some variant of nationwide VAT has been a recurring phenomenon across the globe for the last fifty years, its structure and administration has neither been uniform, nor free from controversy in large federations. Brazil, Canada and India, three large federations, each have different versions of VAT/GST being levied, and in all three nations the extant system faces some criticism.

In contrast to the broad-based taxes like income tax or VAT, there are some revenue sources the base of which are less mobile and are therefore suited for sub-national governments. For example, property tax or road/bridge tolls are ideal for local bodies, and usually assigned to them. In India, Octroi was a major source of revenue for local bodies in some of the states like Maharashtra, but being a checkpoint-based levy hampering smooth flow of traffic and an anachronism in present times, had to be abolished. To be sure, an appropriate substitute for Octroi was not found, and the concerned local bodies had to make do with less productive and less regular source of income in terms of cash flow. Local bodies also raise revenues from several non-tax revenue sources like fees/rental from markets built/provided by them, and charges for water supply.

Middle-level (regional) governments in principle are assigned taxes that do not

require nationwide uniformity, and do not give rise to externalities outside their boundaries, while internalising externalities that may arise if levied by local governments. States in India typically raise most of their revenues from taxes comprising motor vehicle taxes, state excise, stamp duty and registrations fees apart from GST as the major taxes; a few other smaller sources of revenue like land revenue, profession tax, and electricity duty are also allotted to the states by the Constitution. Significant consolidation of several smaller constitutionally allocated state taxes like entertainment tax, passenger and goods tax, entry tax, and luxury tax levied on goods and services took place while introducing the GST, which subsumed all these taxes. This certainly simplified the tax system of the states. However, the introduction of GST with its legislation dominated by the Union, despite granting states access to the services sector as tax base, has reduced both revenue flow and revenue flexibility/autonomy for several states. Important non-tax revenue sources for some of the states include royalty from minerals including onshore petroleum crude extracted, and income from forests (with some regulation of the use of forest resources)³.

12.2.2 Vertical and Horizontal Imbalances

As the principles governing assignment of government expenditures and revenue sources are different, the two sides would be balanced for any level of government only by accident. In general, because of the bias towards decentralisation of functional responsibilities and government expenditures, the latter are incurred at the sub-national level to a greater extent while, the collection of broad-based taxes and those with substantial economies of scale imparts a bias towards greater centralisation of tax collection. Together, these biases imply that the expenditure responsibilities at the sub-national levels are not adequately supported by the revenue assignments. This is termed as *vertical imbalance*, which is present in varying degrees in practically all federations of the world. There is another type of imbalance that relates to the varying ability of different constituent units at the same level (sub-national), to meet their expenditure needs with their own revenues. This is known as the *horizontal imbalance*, the degree of which is often linked to the level of economic development of the concerned unit. For example, Bihar is likely to have a much higher degree of horizontal imbalance compared to Haryana. Expenditure responsibilities of a poor state like Bihar would be higher because of the inability of the majority of its citizens to pay and access private supply of the services they need, while their low incomes would permit the state government to raise only relatively low amounts of revenues. Both the problems are likely to be less severe in the relatively better-off state of Haryana.

12.2.3 Correcting the Imbalances – Inter-governmental Transfers

The vertical and horizontal imbalances inherent in most of the federal fiscal systems have to be resolved (called the process of *equalisation*) in the interest of the stability of the system. Equalisation is a constitutional requirement in some countries, and in some others, a legal obligation. It can also be motivated by a tradition/convention or an implicit general agreement or ‘common will’ as expressed by the legislature. This mechanism for resolution should be a part of

³ For the Union government in India, sale of spectrum has been a lucrative non-tax revenue source.

the system to obviate the need for repeated consideration and policy initiatives for such resolution. In general, this requirement being met by inter-governmental transfers is a common feature in all systems of fiscal federalism, including India.

Apart from resolving the vertical and horizontal imbalances, inter governmental transfers can also serve other purposes. These include:

- a) compensating for benefit spillovers across jurisdictions to maintain efficiency⁴,
- b) to pay for agency functions performed by sub-national governments on behalf of the national government,
- c) to help sub-national governments maintain a minimum level of basic services, and
- d) to incentivise the sub-national governments to fall in line with central planning or development objectives.

Each of these motives for intergovernmental transfers has been explicitly considered and catered to, in the Indian system at some point. For example, the 14th and now the 15th Finance Commissions have linked a State's tax share positively to its area under forests, keeping in mind the environmental and ecological benefit spillovers of forests. Erstwhile Planning Commission and the Plan transfers under its aegis exemplified (d) above.

Inter governmental transfers can be *formula-driven* (amounts for each recipient determined objectively using a set of pre-determined, quantifiable criteria) or *discretionary* (determined on a case-by-case basis). While some amount of discretionary transfer is present in almost all federal systems, too much of it can result in undesirable consequences like loss of sub-national autonomy, inefficient lobbying by recipient governments, and strategic behaviour. Inter governmental transfers generally take one of the two forms: revenue-sharing and grants. Both forms are widely prevalent in various countries of the world including India. Revenue– sharing is usually through a scheme of specified percentage of the total for individual units of sub-national governments, implying varying amounts with variations in the total. In India, the aggregate tax revenue of the Union is shared with States, while other countries may share revenues from individual taxes (Brazil, for example)⁵. Non-tax revenues can also be shared; royalty from various minerals including petroleum crude is shared among different levels of government in several countries.

Grants can be of different types, and their designs are often influenced by the objective of the grants. They can be *conditional (specific purpose) or unconditional (also called general purpose or block grants)*. The latter are generally preferred for correcting horizontal or vertical imbalances. But grants to maintain a minimum level of basic services would obviously be conditional,

⁴ When sub-national governments optimise their public spending by equating benefits with costs, there may be under-provision in the presence of benefit spillovers (positive externalities) – a part of the benefits accruing outside the jurisdiction of the government incurring the expenditure, as the decision may be based on benefits accruing within the jurisdiction only.

⁵ Revenue sharing should be distinguished from revenue base sharing. Base sharing does not require intergovernmental transfers unless collection is centralised by common agreement. Income tax base is shared between the States/Provinces and the Federal (central) government in both the USA and Canada, but that does not entail inter governmental transfers. GST base is shared between the Union and the States in India.

to be spent on specified (basic) services only. Conditional grants can be *matching* (linked to the recipient units' performance in revenue collection or expenditure) or *non-matching*. Matching grants are used when the grantor government wants to modify the grantee government's preferences in favour of the activity supported by the grant. Most of the central grants provided to states under the Centrally Sponsored Schemes are of this type. Further, grants can be *closed-ended* (pre-defined maximum) or *open-ended*.

In the budget documents, grants are reported broadly according to their institutional channel. The first classification is between Plan grants and non-Plan grants. With the discontinuation of central planning, the first category is currently void except for grants relating to Centrally Sponsored Schemes. The second category of non-Plan grants comprises statutory grants (those recommended by the Finance Commission) and other grants (the composition of which can change from time to time).

12.2.4 Sub-national Borrowing

In India, sub-national governments—states and local bodies are permitted by the Constitution to borrow from various sources. These sources include (a) a higher level of government, (b) market borrowings, (c) negotiated loans from various financial institutions including commercial banks, and (d) the central bank of the country and bankers to most of the states—the Reserve Bank of India (RBI). Apart from these, there are other liabilities in the nature of debt that the sub-national governments incur, like Provident Fund contributions collected from their employees. While most of the borrowings are made at their discretion, market borrowings are subject to direct central government control, as per a constitutional provision (Art. 268). Typically, negotiated loans, market borrowings and borrowings from the Union government are long-term loans while loans from commercial banks and those from the RBI are short-term. Loans from the Union government may include some amounts that are simply pass-through debt, actually borrowed from bilateral/multilateral institutions such as the World Bank or Asian Development Bank. Although these loans are negotiated by the lender organisation directly with the beneficiary sub-national government⁶, the actual flow of funds is through the Government of India as the other levels of government are not permitted by the Constitution to borrow from any non-domestic source⁷.

All the state governments in India are subject to their own fiscal responsibility legislations, introduced around the middle of the first decade of this millennium in most of the states. These have the common features, prompted by the Finance Commission, of limitations on revenue deficit, fiscal deficit and the ratio of total debt to Gross State Domestic Product (GSDP). In general, states in India cannot finance their deficit without incurring some kind of debt; thus, the statutory limitation on fiscal deficit automatically implies a restriction on debt. This is important from the point of view of fiscal sustainability of the state finances in

⁶ This is the position after the year 2000. Before that, foreign lenders could not negotiate with the sub-national governments directly as the constitutional restriction was strictly enforced. Also, irrespective of the terms of lending agreed with the original lender, the Union government on-lent the amounts at the same standard terms as the usual lending to the sub-national governments.

⁷ The extent to which sub-national units can access debt from foreign lenders varies between different countries. In Sri Lanka, sub-national governments cannot borrow at all from foreign sources, while Canadian Provinces freely do so.

India, which went through serious stress during the period 1990-2005 leading to the introduction of the fiscal responsibility legislations (FRBMA) in the first place.

Check Your Progress 1

- 1) What do you understand by the term 'fiscal federalism'?

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- 2) List the overall responsibilities of a government. How are these responsibilities suited or assigned to different layers of the Government?

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- 3) To what extent do inter-governmental transfers help to correct the vertical and horizontal imbalances?

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- 4) What are the different sources of sub-national borrowings?

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12.3 INSTITUTIONS OF FEDERALISM IN INDIA

Apart from the different tiers of the government, the institutional structure relating to fiscal federalism in India primarily involves the Finance Commissions at the central and state levels, and to a lesser extent the NITI Aayog⁸. An agency that should have been playing a major role is the Inter-State Council, but it does not in practice. In the present fiscal context, another agency that has assumed importance is the GST Council, empowered by the relevant legislation to deliberate upon and take decisions relating to key issues within the ambit of GST structure in the country and administration.

12.3.1 Finance Commission

Article 280 of the Indian Constitution provides for the apex (and originally the only) Finance Commission empowered to advise the Union Government of the day in matters relating to Centre-State financial relations. The Constitution provides for appointment of a Finance Commission by the President of India (the Chairman and Members, on the advice of the Union Government) every five years or earlier. The Commission is provided with a set of Terms of Reference (ToR) that may include, apart from the constitutionally mandated tasks, any other matter involving centre-State financial relations. The constitutionally mandated tasks at present include, *inter alia*, tax devolution or sharing of central tax revenue with the States (Art. 270 as amended), as also recommending grants-in aid to individual States to cover revenue deficits, for onwards transmission to local bodies, for meeting natural calamities, and for any other reason at its discretion (Art. 275 and 282). The Commission also considers the indebtedness of the Union and the States, and makes recommendations deemed appropriate (Art. 293). It is expected to submit its recommendations in a Report some time before its award implementation period is to begin, to give enough time to the Union government to consider the recommendations and table it in the Parliament along with an Action Taken Report (ATR). Each Commission is disbanded after submitting its report, unless an additional issue is entrusted to it for consideration and recommendations. There have been only rare instances when the Union government has not accepted Finance Commission recommendations; this has been a healthy tradition in the working of Indian fiscal federalism.

State Finance Commissions came into being as a result of 73rd and 74th amendments of the Constitution in 1992 conferring constitutional status to the third tier of government, the urban and rural local bodies. Each State government has its own legislation in this respect, and is expected to appoint the State Finance Commissions at regular intervals as provided in their concerned legislation. The scope of the recommendations covers State-local financial relations, mainly fiscal transfers from the State government to the local bodies.

12.3.2 Planning Commission/Niti Aayog

The erstwhile Planning Commission played a significant role in the area of fiscal federalism in India. It oversaw the State level Five Year Plans– both physical and financial, provided financial assistance for State Plans in terms of both debt and grants, and possibly most importantly, provided a forum for the States to

⁸ Its predecessor, the Planning Commission, played a much more important role– as important as the Finance Commission. Some details are provided in following paragraphs.

come together and discuss issues important to them in the form of National Development Committee (NDC), chaired by the Prime Minister of India. The Planning Commission was set up by an executive order of the Union Government when India adopted the mixed economy model of economic system with central planning. While the system of central planning was preferred one, the Planning Commission was a key institution for economic policy; with the economic policy liberalisation of 1991, its pre-eminence started dwindling, and in 2014, its discontinuation was announced. It was replaced by NITI Aayog, which has so far been a purely advisory body with some amount of responsibilities for monitoring and research. It does not play any direct role in fiscal federalism in India.

Various Ministries of the Government of India including the Ministry of Finance play an important role in the system of fiscal federalism in India. While the Ministry of Finance plays an important role in implementing the Finance Commission recommendations, monitoring FRBM Act implementation, and several other tasks of monitoring and control of States' financial measures, several individual line Ministries are responsible for implementing Centrally Sponsored Schemes relating to their mandate and provide associated transfers to States/ local bodies.

12.3.3 GST Council

As you have learnt in Unit 11, indirect tax structure has undergone a revolutionary change through introduction of a single Tax– Goods and Services Tax (GST) by way of constitutional amendment (Article 279A of the Constitution) made in 2016. Prior to GST, the Central taxes include central excise duty, additional duties of excise, additional duties of customs service tax, surcharges and cesses. Similarly the state taxes were State VAT/ sales tax, central sales tax, purchase tax, entertainment tax, luxury tax, entry tax, taxes on lottery, betting and gambling surcharges and cesses, etc.

This multiplicity of indirect tax structure has been replaced by a single tax i.e. GST structure through the Constitutional Amendment in 2016 providing concurrent powers to both Centre and States to levy GST (Centre to tax sale of goods and States to tax provision of services). The key features of GST are:

- Single Tax (GST)
- Single Tax Administration
- Uniform Law
- Computerised Uniform Procedures

In brief GST Structure in India can be summed up as under:

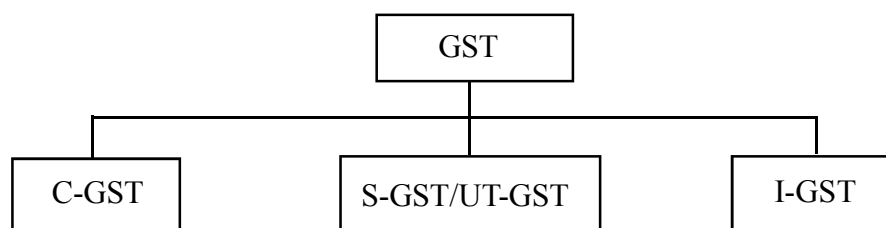


Fig. 12.1: GST Structure in India

Alcohol for human consumption, five petroleum products, Tobacco and entertainment tax have been left outside the purview of GST.

This tax is a major contributor to the tax revenue of both levels of the Government, particularly the States.

The GST Council comprising both State and Union representatives has assumed significance because it is entrusted with the responsibility of providing/ amending/ updating the details with respect to the structure and administration of GST, a tax jointly levied by the centre and the States.

As on 14-5-2019, 94.5 per cent of the total decisions (1064) of the GST Council have already been implemented, which is a significant achievement given the complicated nature and wide area of subjects/issues involved on the fact that most decisions were taken unanimously.

12.4 THE 14TH AND 15TH FINANCE COMMISSIONS

The primary responsibility of the Finance Commission, as mentioned above in the preceding section, relates to recommending fiscal transfers from the Union to sub-national governments. As the transfers to local bodies are also routed through the State governments, it could be taken as Centre-State transfers. The two types of transfers, tax devolution and grants, are different in nature in that grants are recommended in money terms or fixed amounts (for each State), while tax devolution is recommended as the percentage shares of each State in the total tax revenue of the Union net of :

- a) Cost of collection of taxes
- b) Revenues collected in the Union Territories
- c) Exclusions like cess and surcharges as specified in the Constitution.

Usually, Finance Commissions estimate individual States' revenue receipts and current expenditure first, yielding estimates of revenue deficit/surplus⁹. Next, tax devolution is recommended in terms of (i) the share of States as a whole in the distributable tax revenue of the Union and (ii) applicable shares of each State. The Commission itself estimates distributable Union tax revenues for the award period, and applying the shares recommended, it estimates the amount of tax devolution for each State. Selecting the States with pre-devolution revenue deficits, these deficits are reduced by the estimated tax devolution. For only those States which end up with post-devolution revenue deficits, a revenue deficit grant to cover the same is recommended. Other grants are usually recommended independent of this process, based on considerations specific to the nature of the grant recommended. By far, tax devolution outweighs other transfers (grants) in terms of the amounts concerned.

The ToR of the 14th Finance Commission, the last one to have submitted its report at this point, is reproduced in Appendix 12.1. As can be seen, it was asked to consider a large number of issues other than the basic ones enshrined in the

⁹ By choice, Finance Commissions in India have confined themselves to the current account (internationally the term 'current' or 'recurrent' is used to denote receipts or expenditure without any associated future financial flows, but the roughly equivalent term 'revenue' is used in the Indian budgetary parlance) of the budget only. The capital account is not considered by them except when considering indebtedness.